THE ANNOUNCEMENT ROOM

WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

CORPORATE TRAVEL MANAGEMENT LIMITED (ASX: CTD) COMPANY ANNOUNCEMENT, 20 OCTOBER 2026

IATA releases CTM's A$65m security guarantee and restores earlier settlement cycles

Corporate Travel Management (CTM) told the ASX that the International Air Transport Association (IATA) has released the A$65 million security guarantee CTM had provided and restored CTM's previous settlement cycles. These replace arrangements introduced in December 2025, which CTM describes as temporary while its FY25 financial statements were being finalised. CTM expects the change to improve working capital by about A$30 million.

A$65m
Guarantee released
Reported by CTM, 20 Oct 2026

~A$30m
Expected working capital gain
Company expectation, not a result

A$106.9m
Cash at 30 Jun 2026
Includes A$15.8m client cash

A$175m
Committed PEP Credit facilities
Announced 26 Aug 2026

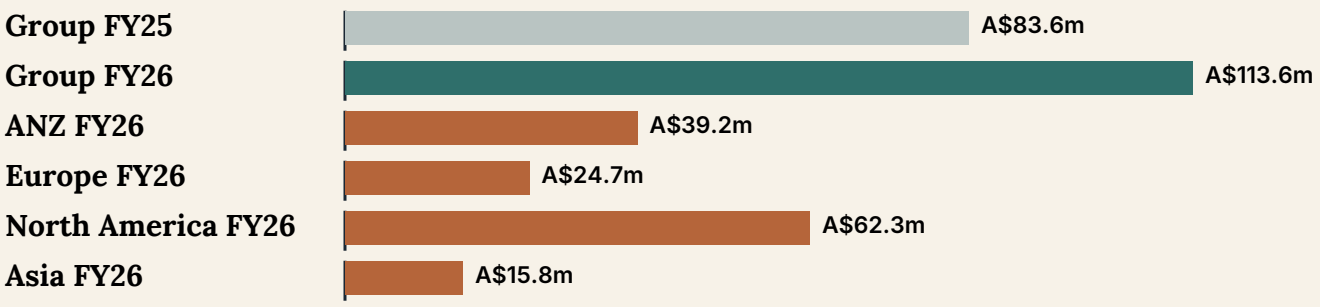
INTRODUCED DECEMBER 2025

Adjusted IATA settlement cycles and a security guarantee, described by CTM as temporary arrangements while FY25 statements were finalised.

ANNOUNCED 20 OCTOBER 2026

IATA has proceeded to release the A$65m guarantee and restore the previous settlement cycles. CTM says client service continued without disruption to ticketing or travel arrangements throughout.

THE EARNINGS BACKDROP: FY26 UNDERLYING EBITDA, A$M (REPORTED 1 SEP 2026)



Bars start at zero. Underlying EBITDA is CTM's non-statutory measure. The four regional figures add to A$142.0m (TAR calculation), above the Group figure of A$113.6m; the results announcement does not show that difference.

WHAT CTM DOES

CTM is a global corporate travel manager with operations in Australia and New Zealand, North America, Asia and Europe. In FY26 it reported total transaction value (TTV) of about A$9.8 billion and 18.3 million transactions.

Sources: ASX announcement 20 Oct 2026, IATA releases $65 million security guarantee and restores CTM's previous settlement arrangements; CTM Reports FY26 Results with Strong Underlying Earnings Growth (1 Sep 2026); CTM Announces new Financing Arrangements (26 Aug 2026). The 20 Oct release gives dollar amounts without a currency label; CTM reports in Australian dollars, so A$ is used. Share price data is not included.

A temporary pressure point is lifted. The larger tests are still ahead.

HOW THE NUMBERS FIT TOGETHER

1 The expected gain is meaningful, but not yet realised

About A$30m is roughly 28% of the A$106.9m cash reported at 30 June 2026, or about 33% of the A$91.1m excluding client cash (TAR calculations, for scale only). CTM has not said when the benefit will arrive or how the A$30m is calculated.

2 Customer remediation remains the big cash call

On 27 August CTM said about A$191m (about 78%) of refunds was agreed or close to finalisation, with a further A$55m to be remediated, and most agreed settlements paid through to Q1 FY28. The A$175m PEP Credit facilities carry an estimated cash interest cost of about A$20m a year in FY27 and FY28 across all facilities, and a termination fee of 4.0% of market capitalisation.

3 Earnings recovered, with caveats

Underlying EBITDA rose 36% to A$113.6m (calculated 35.9%) and attributable profit was A$17.7m, against a A$348.5m loss in FY25. CTM says earnings remain below historical levels, and July 2026 revenue was about A$53.3m against A$58.3m a year earlier (down 8.6%, TAR calculation).

REPORTED, EXPECTED AND NOT DISCLOSED

REPORTED

IATA release of the guarantee and restored cycles. FY26 results, including A$106.9m cash. CTM's FY26 audit carries a modified opinion (Appendix 4E, item 7); its nature was not reviewed here.

COMPANY EXPECTS

About A$30m working capital improvement. First month of FY27 trading broadly in line with management expectations. Further guidance at the November 2026 AGM. Dividends remain suspended.

NOT DISCLOSED

The timing of the A$30m. Whether the IATA guarantee is the same as the A$65m bank guarantee facility from existing lenders (26 Aug). Any effect on remediation funding.

WHAT TO WATCH

November 2026 AGM
Further guidance is due there.

Working capital
Whether the expected A$30m shows up in reported cash.

Remediation payments
Pace of refunds against the A$55m still to be remediated.

Funding terms
Use of the PEP Credit facilities and the leverage and interest cover covenants.

TAR TAKE

TAR interpretation: the release removes a restriction CTM described as temporary and, if the A$30m materialises, adds useful liquidity at a time when refunds are being paid. It does not change the remediation bill, the funding costs or the earnings gap to historical levels, and it says nothing about FY27 profit. The next evidence is the AGM guidance and cash movements, not this announcement alone.

Sources: ASX announcement 20 Oct 2026 (IATA release); CTM FY26 Results announcement and Appendix 4E (1 Sep 2026); FY25 and 1H26 Results (27 Aug 2026); New Financing Arrangements (26 Aug 2026). Calculations use unrounded source figures where given; growth = (new / old - 1) x 100. Currency A$ (see page 1). Management expectations are not results.